

REBALANCING A PORTFOLIO

Investments in a portfolio will perform according to the market. Over time this will cause the portfolio's asset allocation, which was originally tailored to the investor's preferred level of risk exposure, to shift. If left unadjusted, the portfolio will either become too risky or too conservative. In order to maintain a portfolio's risk profile

reasonably close to an investor's level of risk tolerance, it should be reviewed regularly and rebalanced when necessary.

The goal of rebalancing is to move the asset allocation back in line with the original plan. This approach is one of the main dynamic strategies for asset allocation and is known as a constant-mix strategy.



Investor C is also on the efficient frontier. C has a high-risk portfolio but is compensated by receiving higher returns.



Investor B has a suboptimal portfolio. If happy with the risk level, B should rebalance the portfolio closer to C's position to achieve higher returns. Alternatively, to lower the risk for the same rate of return, B should adjust the asset allocation closer to A's position.

The efficient frontier flattens as it goes higher because there is a limit to the returns that investors can expect, so there is no advantage in taking more risk.



NEED TO KNOW

- › **Weighting** The percentage of a portfolio consisting of particular assets. Calculated by dividing the current value of each asset by the total value of the portfolio.
- › **Variance** The measure of how the returns of a set of securities making up a portfolio fluctuate over time.
- › **Standard deviation** A statistical measurement of the annual rate of return of an investment that can give an indication of the investment's volatility.
- › **Expected return** The estimated value of an investment, including the change in price and any payments or dividends, calculated from a probability distribution curve of all of the possible rates of return.
- › **Asset correlation** A statistic that measures the degree to which the values of two assets move in relation to each other. A positive correlation means that assets move in the same direction; a negative correlation means that they diverge.